

National Biscuit Company

Year ended	Earnings for common stock	Net plant account at end of year
Jan. 31, 1911	\$2,883,000	\$53,159,000
1912	2,937,000	53,464,000
1913	2,803,000	53,740,000
1914	3,432,000	54,777,000
1915	2,784,000	54,886,000
1916	2,393,000	55,207,000
1917	2,843,000	55,484,000
Dec. 31, 1917	2,886,000 (11 mo.)	53,231,000
1918	3,400,000	52,678,000
1919	3,614,000	53,955,000
1920	3,807,000	57,788,000
1921	3,941,000	57,925,000
1922	9,289,000	61,700,000
1923	10,357,000	64,400,000
1924	11,145,000	67,292,000
1925	11,845,000	69,745,000

and that the real earnings were in all probability much larger than those reported to the public. Coincident with the issuance of seven shares of stock for one and the tripling of the cash-dividend rate in 1922, this policy of understating earnings was terminated. The result was a sudden doubling of the apparent earning power, accompanied by an equally sudden expansion in the plant account. The contrast between the two periods is shown forcibly in the table on this page.

Failure to State Depreciation Charges. Prior to the S.E.C. regulation some of the important companies reported earnings after depreciation but failed to state the amount deducted for this purpose. Fortunately, this information must now be supplied in the case of every registered company.⁸

⁸ Allied Chemical and Dye Corporation endeavored to have this and other data held confidential, but after considerable delay it was made public (in 1938). This company, like a few others, still excludes its sales and depreciation figures from its reports to stockholders, but this important information is available in the annual reports to the S.E.C. (Form 10-K).